

MAAG v. LAUGHLIN et al

20CV44843

DEFENDANTS' DEMURRER TO THIRD CAUSE OF ACTION

This is a personal injury action involving an allegedly dangerous stairway at property previously owned by the defendants (and which was allegedly conveyed away to create insolvency). Before the Court is a demurrer, filed by all three named defendants, to the third cause of action stated within the First Amended Complaint, to wit: fraudulent conveyance.

A demurrer tests the legal sufficiency of a pleading by looking only within the “four corners” of the pleading (which includes exhibits attached and incorporated therein) or at matters outside the pleading which are judicially noticeable under Evidence Code §§ 451 or 452. In general, a pleading is adequate if it contains a reasonably precise statement of the ultimate facts, in ordinary and concise language, and with sufficient detail to acquaint a defendant with the nature, source and extent of the claim. (*Southern California Edison Company v. City of Victorville* (2013) 217 Cal.App.4th 218, 227; *Shields v. Hennessy Industries, Inc.* (2012) 205 Cal.App.4th 782, 785.)

California has adopted the Uniform Fraudulent Transfer Act (Civil Code §§ 3439–3439.12), the purpose of which is “to prevent debtors from placing property which legitimately should be available for the satisfaction of demands of creditors beyond their reach.” (*Chichester v. Mason* (1941) 43 Cal.App.2d 577, 584.) A fraudulent conveyance is a transfer by the debtor of property to a third person undertaken with intent to prevent a creditor from reaching that interest to satisfy its claim. (*Nautilus, Inc. v. Yang* (2017) 11 Cal.App.5th 33, 39.) A fraudulent transfer under the Act may be intentional (§ 3439.04(a)(1)) or constructive (§3439.04 (a)(2)). (*Hasso v. Hapke* (2014) 227 Cal.App.4th 107, 122; *Mejia v. Reed* (2003) 31 Cal.4th 657, 669–670; *Yaesu Electronics Corp. v. Tamura* (1994) 28 Cal.App.4th 8, 13.) The First Amended Complaint herein does not specify which version plaintiff seeks to plead, which thus requires this Court to consider both types. For either version, fraudulent conveyance sounds in fraud, and must therefore be plead with particularity (except that insolvency may be pled generally). (See *Wald v. Truspeed Motorcars, LLC* (2010) 184 Cal.App.4th 378, 393–394; *Thompson v. Moore* (1937) 8 Cal.2d 367, 372; *Gray v. Brunold* (1903) 140 Cal. 615, 619.)

The essential elements for an **intentional** transfer are as follows: transfer made (1) by the “debtor” (one who is liable on a claim) (2) with actual intent to hinder, delay or defraud any creditor of the debtor. CC §§ 3439.01(e), 3429.04(a)(1). “Actual intent” may be determined from a number of factors enumerated by statute, commonly referred

to as “badges” of fraud, and must be established by a preponderance of the evidence. (*Whitehouse v. Six Corp* (1995) 40 Cal.App.4th 527, 533-535; in accord, *Grubb Co. Inc. v. Department of Real Estate* (2011) 194 Cal.App.4th 1494, 1503; *Filip v. Bucurenciu* (2005) 129 Cal.App.4th 825, 834.)

The essential elements for a **constructive** transfer are as follows: transfer made (1) by the “debtor” (2) without receiving a reasonably equivalent value in exchange for the transfer, and (3) while the debtor was engaged or was about to engage in a business or a transaction for which the remaining assets of the debtor were unreasonably small in relation to the business or transaction. (CC §3439.04(a)(2).)

In addition, for both versions, the plaintiff must plead **damage** resulting from the fraudulent conveyance. (*Mehrtash v. Mehrdash* (2001) 93 Cal.App.4th 75, 80; in accord, *Haskins v. Certified Escrow & Mtge. Co.* (1950) 96 Cal.App.2d 688, 691.)

Initially, there are no factual allegations permitting a finding that any of the defendants are “debtors” in the presence sense. Defendants are presumed free from wrongdoing until proven otherwise and are free to do with their property as they see fit. The only exception is for a prejudgment writ of attachment or possession, and for those a testing of the claim’s merits must first be undertaken.

Next, plaintiff has not alleged any damage resulting from the transfer. Even assuming the defendants moved their home into an *inter vivos* trust, damage will only be shown if plaintiff secures a judgment that is uncollectible but for the transfer.

Third, there is no bad motive to be inferred from what amount to garden-variety probate avoidance techniques. Plaintiff contends that the transfer was to avoid a judgment, but without more facts, the only plausible inference to be drawn from the transfer is that defendants received good advice from an estate planning attorney – especially if the trust is revocable during the life of the settlors.

Finally, based on defense counsel’s email address, it is reasonably ascertainable that his firm is in-house defense counsel for Farmers Insurance, which suggests the existence of insurance coverage for this claim, which further belies the bald conclusion that defendants will be unable to meet any adverse judgment herein.

Based on the foregoing, this Court concludes that the cause of action for fraudulent conveyance is inadequately pled. Plaintiff has failed to meet its burden of showing in what manner the claim can be amended and cured. The demurrer is SUSTAINED WITHOUT LEAVE TO AMEND, but without prejudice to a future motion for leave to amend if prejudgment provisional remedies permit (or after collection proves fruitless).

The clerk shall provide notice of this ruling to the parties forthwith. Defendants to prepare a formal Order pursuant to Rule of Court 3.1312 in conformity with this ruling.

CALLISON v. ORTIZ

20CV45077

DEFENDANTS' CONTINUED MOTION FOR JUDGMENT ON THE PLEADINGS

This is a breach of contract action relating to the sale of real property. Before the Court is the continued hearing on the defense motion for judgment on the pleadings, now with opposition and reply briefs.

Party Plaintiffs

Counsel for plaintiff requests clarification of this Court's order regarding the Pollock & James dismissal filed on 10/06/21. At the time this paper was filed with the Court, Pollock & James was representing itself in the action. Attorney Jeffrey was *not* representing Pollock & James and had no obvious authority to file anything on behalf of Pollock & James, especially something as material as a dismissal of their claim. (See CRPC 1.2(a) and *Maddox v. City of Costa Mesa* (2011) 193 Cal.App.4th 1098, 1105.) Even though an attorney in the law firm of Pollock & James signed the Request for Dismissal, there is no indication that Attorney James has the authority to speak for the firm in such matters. Pollock & James must file its own dismissal. The dismissal filed 10/06/21 is stricken.

Stating a Claim

The operative pleading describes a *written* agreement in which defendants would pay to plaintiffs the equity received from a sale involving real property, but no description of the lawful object or consideration therefore. Defendants offer via judicial notice that defendant Riordan agreed in 2017 to pay Callison almost \$1M, and perhaps plaintiffs believed that his agreement to pay created an enforceable contract with Ortiz (as home owner). To the extent this lawsuit is an effort to collect on a pre-existing debt from Riordan, defendants are correct that this is a collection matter to be addressed in the Sonoma County proceeding. Either way, it is not clear how P&J or Ortiz are involved at all.

Nevertheless, the new opposition brief presents a basis upon which amendments might cure the defects previously identified. Plaintiff is correct that any lawful benefit conferred upon the promisor, or any prejudice suffered by the promisee as an inducement to the promisor, is good consideration for a promise. (Civil Code §§ 1605, 1607.) The problem is that while the operative pleading is poorly drafted, and done by prior counsel, new counsel provides a cogent explanation of the issue in the opposition papers. If the factual basis in the opposition papers can be appropriately asserted in an amended pleading, the cause of action might survive, but far more detail is required.